

Chapter 1

1.1 Background to the Study

Capital markets play a crucial role in national economic development as they provide the mechanism for listed companies to raise capital and investors to allocate capital to optimal uses (Sulaiman, 2023; Evbuomwan, 2024). The stock market - influenced by factors such as demand, supply and investor behavior amongst others, is where listed companies raise capital by selling equity stakes through shares, while investors buy and sell these securities (Nahari, 2025).

Investment in the capital markets has been on the rise as one of the many investment vehicles available to individual and institutional investors in recent times. The goal of rational investors in these markets is to minimize risk and maximize return on investments (Mahadevaswamy and Shyamala, 2022), based on their level of risk-aversion when they invest in securities. They share the same goals of diversifying all diversifiable risks and achieving the best possible risk-return ratio (Zaimovic et al., 2024). This connotes the importance of diversification as a major means of sustainable capital appreciation.

Diversification is not an automatic risk-reduction mechanism as its effectiveness depends on the co-movement of the assets returns across markets and over time. When asset returns have low correlation, unsystematic risk of the portfolio can be significantly reduced through diversification. Although diversification is widely used and popular, it still presents a continually evolving challenge in portfolio management - how to optimally allocate resources. For example, international equity diversification was historically more reliable for U.S. investors prior to 2009, however, the post-crisis period favored diversification through a portfolio of stocks and bonds involving equities, commodities, and government securities. As

the correlation among markets

increases over time, international portfolio diversification remains if investors continuously measure correlation among these markets so as to create an optimal market combination (Huang et al., 2025).

To deal with the problems that come with diversification, portfolio management has become a step-by-step decision process. The portfolio management includes identifying, selecting and overseeing investments by individuals or institutions with the goal of maximizing returns while minimizing risk (Salo et al., 2024). As markets keep evolving, portfolio management is essential for long-term growth to maximize returns (Yadav et al., 2024). The main goal of portfolio construction is to diversify unsystematic risk through a two-step allocation plan. Firstly, investors balance risk-return by splitting funds between the risk-free assets and the risky assets.

After the division, diversification is realized by combining assets with low correlation thereby improving the portfolio's risk-return profile and moving the efficient frontier to better results (Zhang, 2024). Within this framework, the challenge of determining a portfolio composition is an important decision problem which can be solved through portfolio optimization techniques (Salo et al., 2024).

Portfolio optimization is one of the key tenets of investment theory, providing a systematic strategy for dealing with market unpredictability. This offers a systematic framework to help investors find a balance between risk and return and thus maximize their returns on every unit of risk they take. Thus, the portfolio optimization process helps in guiding investors through the uncertainty, volatility, and unpredictability of financial markets, and assists in meeting their unique financial goals (Nahari, 2025). The market downturns that have occurred, including the global financial crisis of 2008 (Global Financial Crisis), were evidence of the

inadequacy of traditional diversification methods. Consequently, there has been a greater demand for and usage

of models that allow for a more sophisticated analysis of correlated risk (Senescall & Low, 2024). Optimization models provide a structure for an investor's decision-making and integrate multiple dimensions of risk, including credit, market and liquidity risk, into a single process of making investment decisions rather than relying on traditional methods of diversification (Tjiwidjaja, 2025).

The mean-variance model introduced by Harry Markowitz (1952) is one of the most foundational portfolio optimization models, which related returns and risks of an asset to its expectation and variance of returns which led to the efficient frontier concept (Zsurkis et al., 2024). His foundational contributions laid the foundations for the modern portfolio theory (Mba et al., 2022). By introducing mathematical optimization techniques, the asset allocation problem was formalized into an optimization framework based on the trade-off between expected return and risk. Within this framework, investors may either minimize portfolio risk for a given level of expected return or maximize expected return subject to a specified risk constraint, leading to the derivation of the efficient frontier. The theory is based on various assumptions such as:

Homogeneity of investors' expectations, investors' decisions based solely on expected returns and variances, exhibiting rational risk-averse behavior. Financial markets are assumed to be frictionless and efficient with freely divisible assets, unrestricted short selling, and prices that fully reflect available information. Asset returns are uncertain, normally distributed, and correlated, while individual investors are price takers whose trades do not affect market prices (He, 2022).

While Markowitz's mean-variance portfolio theory remains foundational in finance research, it has practical limitations. One key challenge arises from errors in estimating the expected return vector and covariance matrix, which can lead to portfolios that differ substantially from the true

optimum (Job, 2022). A second limitation is that MVO does not account for tail risk. This is because of variance which measures deviation from mean and this can result in huge losses for investors during extreme events (Wang et al., 2024) especially in emerging markets which are marked by high volatility, low liquidity and asymmetric information (Arif et al., 2020). Variance as a risk of measure is also flawed in the sense that it treats both upside and downside deviations equally. This is against the goal of investors as upside deviations are not only welcome but desired and they are mostly concerned with downside risk (Ferrari et al., 2024). This shows that the mean-variance model doesn't truly perceive the investors' perception of risk.

Due to the limitations of the mean and variance approach, other risk measures like Value-at-Risk emerged. Value-at-Risk was particularly introduced since it focuses on assessing the risk based on the highest potential loss that can occur within a specific Confidence Interval (Wang et al., 2024). Value-at-Risk (VaR), a statistical risk measure that aims to quantify potential losses via a specific quantile of the conditional return distribution of a portfolio, has emerged as a common tool for market risk assessment and remains a fundamental piece of risk management practices according to the Basel III Accord (Cheng, 2025; Leccadito et al., 2024).

However, VaR quickly gained acceptance as the standard approach for modeling market risk for several years because of its simplicity. Yet, VaR faces challenges that investors should be aware of. Findings from various studies have shown that during the occurrence of pandemics, VaR models were not accurate at all as far as investors were concerned, even during crises, as

noted by Fatouros et al. (2022). Moreover, VaR models not only give data concerning potential losses at a certain confidence level, but neglect losses of greater magnitude, as pointed out by (Mozumder et al., 2024). Moreover, it is not sub-additive, meaning the sum of individual asset VaRs can underestimate total portfolio risk. (Leccadito et al., 2024). All of these highlight the need for a risk measure to show severity of extreme losses thereby showing the need for a technique that goes beyond the traditional measures thereby aiding investors in the construction of a more robust portfolio (Fan, 2020).

Consequently, portfolio optimization models based solely on historical data can misrepresent future risk, indicating the need for methods that incorporate predictive approaches (■Slusarczyk and ■Slusarczyk, 2025). Empirical studies highlight the limitations of using historical data for predictive models such as unreliability during economic uncertainty or financial crises, ever- changing market conditions, over fitting and bias of data mining (Zhang, 2025), ineffective capturing of nonlinear and time-varying dynamics (Chung et al., 2025). Historical models have also been observed to do not sufficiently account for volatility features in emerging markets due to poor out-of-sample forecasting (Sahiner, 2022; Adegboyo, 2025). These limitations highlight the increasing difficulty of accurately forecasting risk and return in unstable and emerging markets, raising important questions about how future portfolio outcomes can be reliably anticipated.

Emerging markets assets returns and risk forecasts face distinct challenging conditions. Volatility in emerging market stocks is high, making it challenging to rely on conventional forecasting models (Alfeus et al., 2024). Conventional forecasting models cannot fit financial time series data because of the stability criteria used in the conventional model, as the financial time series data is prone to stability criteria-related problems because of randomness and randomness- related ingredients of the financial time series data, thereby emphasizing the demand for increased precision forecasting models like Machine Learning Models, which have

attracted considerable attention and used elaborately in stock market predictions and forecasting (Ashrafzadeh et al., 2025). Various empirical research works indicate the efficiency and

applicability of ML Models in understanding the complex patterns and dynamics present in financial time series data, leading to increased precision and profits in stock market investments (Fan, 2020; Ashrafzadeh et al., 2025; Kevin and Yugopuspito, 2025). Hence, forecasting models not only assist in estimating predictable risks and rewards but are also helpful in understanding the importance of risk-aware optimization techniques.

Moreover, due to the various benefits in using predictive models, the forecasts can be plugged into optimization techniques - a largely untapped potential to improve outcomes (Zhang, 2024). Machine learning models improve the quality of inputs estimates which helps investors in making better portfolio decisions (Martínez-Barbero, 2024). In emerging markets marked by volatility, structural deficiencies and noisy data, ML models have been applied to stock prices forecasting, predicting market crashes, and capturing non-linear relationships in financial time series data (Naeem et al., 2024; Ashrafzadeh et al., 2025). Integrating these forecasts into portfolio optimization frameworks can improve allocation decisions and better minimize portfolio risk (Kevin & Yugopuspito, 2025; Uzoaga, 2025).

Despite several decades of progress in portfolio optimization from the mean variance model in 1952, several challenges are found within and around existing models. The conventional models for mean variance are flawed due to error in estimation with symmetry between upside and downside risks. Furthermore, Value-at-Risk models are inefficient as they are unable to determine the extent or value of tail losses and demonstrate unsteady forecasts using actual historic data for volatile and developing markets (Job, 2022; Wang et al., 2024; Arif et al., 2020; Mozumder et al., 2024). The above factors illustrate and exemplify gaps and needs for improved portfolio optimization tools with accurate and consistent results and

recommendations (■Slusarczyk and ■Slusarczyk, 2025). The intersection and fusion between predictive models such

as machine learning models and Tail-Risk aware models for portfolio optimization, recommend and express a positive potential for improvement within portfolio and risk management decisions in volatile markets and developing markets (Ashrafzadeh et al., 2025; Kevin and Yugopuspito, 2025), and accordingly underlay and serve as background for this research work and project.

1.2 Statement of the Research Problem

Portfolio optimization is a core mechanism in the markets for balancing risk and return. The popularity arose due to the increased size of the world economy providing investors with an ever-increasing variety of investment opportunities (Lii, 2023). This is seen on Nigerian Exchange Group (NGX) - one of Africa's leading financial hubs, where the number of securities listed has increased from 19 - at inception in 1961 to 393 listed securities among which 151 were listed companies as at September 2024 (NGX website). Portfolio optimization research remained a significant concern for researchers for efficient allocation of capital, which entails the allocation of capital based on market fluctuations (Espiga-Fernández et al., 2024). The nature of financial markets, which entails market volatility, vagueness, and market shifts, hampers the predictability of market fluctuations, as seen on the NGX. (Uzoaga et al., 2025). Nevertheless, in efforts to provide a suitable approach, there is a recent emphasis on the integration of predictive models in analytics for a better approach for non-linear analysis, and market shifts (Alfzari et al., 2025). Whether the current approach in portfolio optimization can provide a suitable approach for market risk remains a concern.

In theory, portfolio optimization enables investors to construct portfolios that maximize expected returns for a given level of risk, or equivalently, minimize risk for a given return

(Espiga- Fernández et al., 2024). This is done by allocating capital across multiple assets, balancing

correlations and individual assets risk to achieve an efficient portfolio (Zsurkis et al., 2024). By combining uncorrelated assets, investors could diversify away all unsystematic risk potentially improving risk-adjusted returns (Zaimovic et al., 2024). However, to achieve these theoretical benefits depends critically on accurate estimates of returns, covariance, stock forecasts and other input parameters (Zhang, 2025; Ashrafzadeh et al., 2025). However, misestimation of these inputs can distort the portfolio's risk-return profile and investment outcomes (Job, 2022; Wang et al., 2024; Arif et al., 2020). This suggests that these advantages critically depend on how risk and returns are measured and anticipated.

However, in periods of crises, extreme events and recessions such as the 2020 Covid-19 pandemic, 2008 financial crisis, the classical optimization models proved to be inefficient (Fatouros et al., 2023). Empirical studies also show that post-2009 diversification delivers less benefits as correlations among assets rise (Huang et al., 2025). Traditional measures underestimate extreme losses such as Value-at-risk (VaR) which has been criticized not to show the magnitude of extreme losses and not sub-additive (Mozumder et al., 2024; Leccadito et al., 2024). In emerging markets, these issues are amplified due to structural issues, illiquidity, and fat tail distributions (Ojo & Okafor, 2024). Nevertheless, the persistence of these challenges has driven research into alternative risk measures and adaptive optimization methods (Lorimer et al., 2024). Recent research has attempted to address these issues through alternative risk measures and time-series forecasting models such as Expected Shortfall (ES), Autoregressive Integrated Moving Average (ARIMA) and generalized autoregressive conditional heteroskedasticity (GARCH) (Ojo & Okafor, 2024; Mozumder et al., 2025). While these studies and recent research are informative, the issues don't stem from the optimization models themselves, but how expected risks and returns are computed.

Portfolio optimization failures are primarily driven by poor estimation of risk and returns. Studies have criticised the mean-variance optimization model for estimation errors in the expected return vector and covariance matrix (Job, 2022) giving rise to poor out-of-sample performance (Martínez-Barbero et al., 2025). Although they have achieved significant progress, they are still insufficient as forecasts are made from historical-data performance, have stability assumptions, failure to capture non-linear and time varying dynamics (■Slusarczyk and ■Slusarczyk, 2025; Chung et al., 2025). This highlights the need for approaches that can better anticipate future market behavior rather than rely solely on past observations.

In empirical applications, portfolio allocations are generally quite sensitive to calculations for estimated risks and returns (Martínez-Barbero et al., 2025; ■Slusarczyk and ■Slusarczyk, 2025). The portfolio optimization process essentially involves future expectations with respect to returns and risk because portfolio allocation weights determined by portfolio optimization are derived and based on their future expectations and behaviors and are not limited to their averages as determined before (Martínez-Barbero et al., 2024). As illustrated by relevant research (Martínez-Barbero et al., 2024), portfolios formed using future forecasts by LSTM models outperform those formed using historical return data. Implementing these forecasts within overall portfolio optimization models for improved allocation and reduced portfolio risks can indeed provide benefits (Kevin & Yugopuspito, 2025; Uzoaga, 2025).

Portfolio optimization using classical frameworks has been observed to be highly vulnerable during periods of market stress. This arises because commonly used measures focus on using quantile-based losses and do not sufficiently account for the magnitude of losses in the tail of the return distribution. Conditional Value-at-Risk (CVaR), proposed by Rockafellar and Uryasev (2000), handles this problem effectively as it measures the average loss exceeding a given level

of risk over a certain horizon thus suitable for dealing with extreme events (Wahid et al., 2025). With this measure of tail-risk rather than variance, it has been shown to be more robust than before when dealing with capital allocation with uncertainty. Later research has also confirmed that CVaR performs better than previous models on portfolio returns and Sharpe Ratio (Lorimer et al., 2024). Nonetheless, how effective CVaR is essentially depends on how well input values are estimated and can readily become more effective with forecasting models (Zhang, 2025).

This is particularly important when dealing with emerging markets such as the Nigerian Exchange Group (NGX), where financial returns have rather high volatility, illiquidity, and fat-tailed distributions. This indicates an important need for a hybrid combination of tail-risk-aware optimization and forward-looking forecasting of risk and return values to enhance portfolio robustness and returns when dealing with such a challenging environment.

1.3 Research Questions

The study aims to answer the following questions:

- Can machine-learning models improve the accuracy of stock return forecasts on the NSE?
- Does incorporating ML-based return forecasts into CVaR optimization improve portfolio performance?
- How does the ML-CVaR portfolio compare to traditional mean-variance and equal-weighted portfolios?

1.4 Objectives of the Study

Following the research questions highlighted above, the broad objective of this study is to examine the effect of equity-return forecasting on tail-risk aware optimization on the Nigerian Exchange Group (NGX) while the specific objectives are to:

- Build ML models (Random Forest and XGBoost) to forecast stock returns.
- Integrate predicted returns into a CVaR optimization framework.
- Compare ML-CVaR portfolios to traditional mean-variance portfolio using metrics such as Sharpe ratio, Annualized returns, Sortino ratio, and maximum drawdown.
- Assess robustness of portfolios under extreme market conditions.

1.5 Justification of the Study

In modern finance, portfolio optimization has evolved to be central investment decision-making both in theory and practice (Espiga-Fernández et al., 2024). As financial markets in emerging countries become more volatile, complex and uncertain, traditional models have gotten more strained and inadequate to capture the true state of the market (Adegboyo & Sarwar, 2025) especially during periods of stress. This is the cause for alarm as poor portfolio optimization can lead to poor risk allocation which has real economic consequences including huge losses, instability, and poor capital allocation. This has led to new areas of research including the increasing use of predictive and machine learning models to address non-linearity and time-varying dynamics (Alfzari et al., 2024; Kevin & Yugopuspito, 2025; Chen, 2025). Despite these advances, forecasting and optimization are usually treated separately as limited integration frameworks exist (Zhang, 2024). All these suggest a need for the reassessment of optimization frameworks and predictive models to better control risk under unstable conditions. Hence, this study will contribute to extant studies in the following ways:

One, classical optimization models such as mean-variance and VaR models are foundational and important, but they do not sufficiently capture downside risk and estimation errors especially in emerging markets characterized by illiquidity and structural break (Job, 2022; Wang et al., 2024). By integrating ML models into Tail-Risk aware measures into portfolio optimization particularly in emerging markets, this may properly address these persistent limitations. Two, variance-based measures do not sufficiently capture the magnitude of extreme losses leaving portfolios exposed during market crises (Arif et al., 2020; Wahid et al., 2025). During events such as the 2008 financial crisis and 2020 Covid-19 crash, portfolios that were constructed with variance-based measures either greatly underperformed or made huge losses (Leccadito et al., 2024). Due to these limitations, it justifies the use of Conditional Value-at-Risk (CVaR) as a tail- risk measure which explicitly accounts for extreme losses past a certain threshold, which is particularly relevant on the NGX.

Three, portfolio optimization frameworks based on historical averages do not sufficiently adequately capture the future behavior of expected returns and risks (Zhang, 2025). It has been observed that portfolios based on forecasted returns have consistently outperformed that based on historical averages (Martínez-Barbero et al., 2024). To reduce the possibility of increased risk and lower returns, there is a critical need for the integration of forecasted returns into optimization which is embedded in the study. Four, the traditional econometric forecasting models impose assumptions which are violated in the financial markets especially during structural changes, assumptions such as linearity and stationarity. This implies that the models won't be able to capture nonlinear relationships, time varying, and complex market dynamics (Lyu, 2024). Machine learning models bypass these limitations by learning complex and nonlinear patterns directly from the data without restrictive assumptions (Ashrafzadeh et al., 2025). These improved forecasts directly make for better portfolio allocation decisions, as optimization outputs are sensitive to return estimates (Zhang, 2025). Consequently, these

advantages are pronounced in emerging markets where return distributions are unstable and fat-tailed (Ojo & Okafor, 2024). However, to achieve the full benefits of ML forecasts, it needs to be effectively integrated into portfolio optimization frameworks rather than used in isolation.

Hence, this necessitates the study. Five, most research works predominantly treat forecasting and portfolio optimization as separate tasks. This separation leads to suboptimal portfolios as optimization depends directly on forecast quality (Martínez-Barbero et al., 2024). Although joint forecasting-optimization models have been observed to outperform traditional models and achieve better risk-adjusted performance (Kevin & Yugopuspito, 2025), these studies are few and limited and even fewer or non-existent in emerging markets. This uniquely positions this study as a unified decision-making framework to enhance robustness, coherence, and real-world relevance of portfolio decisions. Six, most portfolio optimization and ML-based frameworks are developed and tested on data from developed markets thus limiting their applicability in emerging markets due to higher market friction, asymmetric information and higher volatility. All these leads to fat-tailed return distribution causing variance and traditional measures to underestimate extreme losses (Mozumder et al., 2024; Wang et al., 2024). This also makes conventional forecasting methods inadequate. Given these conditions and the need for portfolio resilience, there is a need to examine equity-return forecasts on tail-risk aware portfolio optimization on the NGX.

Given the emerging market realities, better forecasting and risk modeling are essential due to the observed improvements over traditional measures (Chaweewanchon & Chaysiri, 2022). Together, forecasting and tail-risk aware optimizers together form a promising avenue for more

resilient portfolio outcomes. While these improved methods exist, their applications in emerging markets such as the Nigerian Exchange Group (NGX) remains under-explored

(Moyoweshumba & Seitshiro, 2025). This necessitates the study not only for academics and researchers but also for real decision-making.

1.6 Scope of the Study

This study examines the effect of equity-return forecasting on tail-risk aware optimization on the Nigerian Exchange Group (NGX). Weekly price data on selected companies in the NGX Pension Index between the period of 2010 - 2025 will be utilized for the study. This study could not extend beyond the selected time frame due to unavailability of price data due to the date of companies' listings. Most available data on price data on publicly listed companies were sourced from ng.investing.com which was limited to the timeframe of the study.

1.7 Organization of the Study

This study is divided into five chapters. The first chapter of this study provides the background of the study, which will further prove the need for the study. Chapter two presents the theoretical and empirical review of relevant studies in the study's subject matter. The theoretical perspective in the second chapter will introduce the adopted models in chapter three. Data analysis and presentation will be carried out in chapter four, while the concluding comments that include summary, conclusion, recommendations, and suggestions for further studies will be made in chapter five.

CHAPTER TWO

LITERATURE REVIEW

This research will examine the current literature regarding equity return forecasting and tail-risk aware portfolio optimization in relation to Nigerian Exchange Group (NGX). The chapter will be structured into a conceptual framework, a theoretical framework, an empirical

literature review, and a summary of the gaps identified in the existing literature.

2.1 Conceptual Framework

Understanding equity return forecasting and tail -risk-aware portfolio optimization has become increasingly important in modern financial decision -making due to rising market volatility and uncertainty. Forecasting improves the accuracy of return estimates while tail -risk enhances portfolio protection against extreme losses. With the growing applications of machine learning techniques and unique characteristics of emerging markets such as the Nigerian Exchange Group (NGX), these concepts have gained increased importance in investment management.

2.1.1 Portfolio Optimization

Portfolio optimization refers to the systematic process of determining the most efficient allocation of assets in an investment portfolio to achieve a specific financial objective. Its primary objective is to construct a portfolio that either maximizes returns given a specific risk or minimizes risk given a specific return. This involves selecting and weighing assets to strike a balance between risk and return. The foundation of modern portfolio optimization was introduced by Markowitz (1952) through the mean-variance framework, which formalized the relationship between risk and return and laid the groundwork for subsequent portfolio management techniques (Salo et al., 2024).

Building from portfolio optimization, an efficient allocation principle is necessary as it focuses on how resources should be distributed across assets to achieve the best possible balance between risk and return. Achieving efficiency involves strategies such as diversification, which reduces

unsystematic risk by combining assets with low correlations, and careful assessment of risk-return trade-offs, which helps investors decide how much risk they are willing to accept for potential gains. Importantly, the efficiency of a portfolio depends on accurate estimation of

returns, variances, and covariances, making continuous monitoring and adjustment essential. By following these principles, investors can construct portfolios that not only optimize performance but are also more resilient to market fluctuations (Zhang, 2024; Okafor and Robertson, 2022).

As a result of modern advances in technology and market complexities - increased market volatility, large datasets and emergence of new asset classes, portfolio optimization has significantly evolved from traditional optimization methods - mean-variance model, black-litterman model and value-at-risk (VAR) model to supplementation of traditional methods or them being replaced with more advanced analytics to better handle these challenges in real time (Hsiao, 2025).

2.1.2 Tail-Risk-Aware Portfolio Optimization

Tail risk generally refers to the risk associated with extreme events that occur in the tails of a probability distribution, representing rare but severe losses. In financial markets, return distributions often exhibit fat tails, implying that extreme losses occur more frequently than a standard normal distribution would predict (Rockafellar & Uryasev, 2002; Mozumder et al., 2024).

This phenomenon is often characterized by skewness and excess kurtosis (leptokurtosis), where a high kurtosis value indicates that returns are concentrated around the mean but spread significantly toward the tails, signaling a higher likelihood of extreme volatility and outliers (Alim et al., 2024; Bali et al., 2007).

While understanding how crucial tail-risk is, traditional methods like mean-variance model use variance which treats all deviations symmetrically, therefore ineffective in distinguishing between

upside and downside risk, limiting their effectiveness in capturing extreme downside outcomes i.e a critical limitation of variance is that it penalizes positive deviations (gains) and negative deviations (losses) equally (Samaniego Alcántar, 2023). This implies that upside volatility is treated as a risk to be minimized, which can lead to suboptimal outcomes for investors who view returns above the mean as desirable rather than dangerous (Zapata Quimbayo, 2025; Lorimer et al., 2024). In contrast, downside risk measures -such as semi-variance, Value-at-Risk (VaR), and Conditional Value-at-Risk (CVaR) -are asymmetric metrics. They differentiate between "good" and "bad" volatility by focusing exclusively on returns that fall below a specific target or threshold (Ferrari et al., 2024; Zsurkis et al., 2024). By isolating the negative portion of the return distribution, downside risk aligns more closely with the investor's intuitive perception of risk as the potential for financial loss rather than mere fluctuation (Mozumder et al., 2024).

Tail risk management is necessary in volatile markets such as the Nigerian Exchange Group (NGX) due to the market's characteristic leptokurtosis and fat tails, which render symmetric measures like variance inadequate for capturing extreme downside potential (Uzoaga et al., 2025).

Furthermore, the NGX exhibits significant leverage effects where negative shocks amplify volatility disproportionately compared to positive news, necessitating the adoption of asymmetric models and tail-risk-aware models such as Conditional Value-at-Risk (CVaR) for robust risk assessment during periods of structural instability (Adegboyoye & Sarwar, 2025; Rockafellar & Uryasev, 2002).

2.1.3 Equity Return Forecasting

Equity return forecasting refers to the analytical process of estimating the future financial performance or price direction of stock assets to enhance decision-making in portfolio

management and risk mitigation (Yu, 2024; Chao, 2024). This practice operates in contrast to the

Efficient Market Hypothesis (EMH) and the Random Walk Hypothesis, which postulate that asset prices reflect all available information and fluctuate randomly, rendering prediction impossible (Manogna & Kulkarni, 2025; San, 2025). However, substantial empirical evidence challenges these hypotheses, suggesting that financial time series exhibit predictable behavioral patterns, non-linear correlations, and volatility clustering that can be modeled to generate abnormal returns (Ashrafzadeh et al., 2025; Yu, 2024).

Equity return forecasting fundamentally transforms portfolio optimization by replacing static historical averages with dynamic, forward-looking estimates, thereby allowing optimization models to adapt to non-stationary market conditions (Manogna & Kulkarni, 2025; Yu, 2024). By integrating advanced algorithms such as Long Short-Term Memory (LSTM) networks and machine learning techniques, investors can enhance asset selection and weight allocation, effectively maximize risk-adjusted returns while mitigate the estimation errors common in traditional Mean-Variance frameworks (Ashrafzadeh et al., 2025; Fan, 2025). This predictive integration facilitates active rebalancing and improves portfolio robustness during volatile periods, yielding performance that consistently surpasses passive benchmarks like the equal-weighted or buy-and-hold strategies (■Slusarczyk & ■Slepaczuk, 2025; Martínez-Barbero et al., 2025).

2.1.4 Machine Learning in Financial Forecasting

While traditional econometric models such as Autoregressive Integrated Moving Average (ARIMA) and Generalized Autoregressive Conditional Heteroskedasticity (GARCH) have historically served as the foundation for financial time series analysis, their reliance on linear assumptions often limits their effectiveness in capturing the chaotic and non-linear nature of

stock market volatility (San, 2025; Ajiga et al., 2024). Recent studies suggest that financial markets

exhibit complex, dynamic behaviors that rigid statistical models struggle to approximate (Zhang, 2025). Consequently, there has been a paradigm shift toward Machine Learning (ML) and Deep Learning (DL) methodologies, which offer superior flexibility in modeling high-dimensional data and identifying latent non-linear patterns without strict distributional assumptions (Chao, 2024; Gu et al., 2019). Parallel to deep learning, tree-based methods such as Random Forest (RF) and eXtreme Gradient Boosting (XGBoost) have gained traction for their ability to handle noisy data and prevent overfitting through bagging and boosting mechanisms (Moyoweshumba & Seitshiro, 2025; Chen, 2025). The integration of these techniques into portfolio optimization models enhances asset allocation decisions by providing forward-looking returns estimates and improving the balance between risk and return in portfolio performance.

2.1.5 Nigerian Exchange Group (NGX) market characteristics

The Nigerian Exchange Group (NGX), formerly known as the Nigerian Stock Exchange (NSE), operates as a pivotal financial hub in Africa, structured to facilitate capital allocation and wealth generation through the centralized trading of equities and financial liabilities. The market is characterized by significant volatility clustering and structural breaks such as regime shifts caused by external shocks like oil price fluctuations and political instability (Adegboyo & Sarwar, 2025).

A fundamental characteristic of returns on the NGX is their significant deviation from the normal distribution. A stylized fact consistent with the Efficient Market Hypothesis (EMH) critiques in emerging markets. Empirical analyses of the All-Share Index (ASI) consistently reject the Gaussian assumption, revealing that return distributions are leptokurtic -possessing

higher peaks and heavier tails (fat tails) than a normal distribution (Adegboyoye & Sarwar, 2025; Uzoaga et al., 2025). This implies that extreme market events and outliers occur more frequently in the Nigerian

market than standard linear models would predict (Uzoaga et al., 2025). Furthermore, NGX returns often exhibit positive skewness, indicating that the distribution of returns is not symmetric and may be influenced by occasional large positive gains, although the market remains highly volatile (Uzoaga et al., 2025).

All these pose investment challenges to investments in Nigerian equities. Historical precedents, such as the 2014 oil price crash and the COVID -19 pandemic, demonstrate how external crises can trigger severe market downturns, disrupt market capitalization, and erase investor wealth (Fapetu et al., 2021). Furthermore, the market is characterized by frequent structural breaks-abrupt shifts in market regimes caused by policy changes or economic shocks -which complicate the application of traditional linear forecasting models and necessitate adaptive risk management strategies (Adegboyoye & Sarwar, 2025).

Figure 1: Diagram showing flow of conceptual framework

2.2 Theoretical Framework

This section examines economic and financial theories that may be beneficial for the study. This subsection provides the theoretical foundation for our research, which can be further utilized in our investigation.

2.2.1 Modern Portfolio Theory (MPT)

Markowitz's (1952) Modern Portfolio Theory (MPT) fundamentally posits that an asset's risk must be evaluated by its contribution to overall portfolio volatility rather than in isolation, demonstrating that diversification reduces unsystematic risk through the combination of assets

with imperfect correlations (Job, 2022; Samaniego Alcántar, 2023). This optimization process defines the efficient frontier as a boundary of optimal portfolios that yields the maximum expected return for a defined level of risk or the minimum risk for a target return forming the basis for the mean - variance framework (Chaweewanchon & Chaysiri, 2022; Fan, 2025). Rational investors are thus expected to select portfolios along this frontier that align with their specific risk tolerance, avoiding inefficient allocations that offer inferior risk-return trade-offs (Bodnar et al., 2022; Zsurkis et al., 2024).

Despite its theoretical foundational status, the practical implementation of the Mean -Variance framework is severely compromised by its inherent sensitivity to estimation errors in the input parameters-specifically the expected return vector and the covariance matrix (Martínez-Barbero et al., 2025; Job, 2022). In standard practice, these parameters are unknown and are typically substituted with sample estimates derived from historical data. However, the optimization algorithm treats these estimates as true values, failing to account for parameter uncertainty (Bodnar et al., 2022; Chen, 2025). This leads to a phenomenon where the model acts as an error maximizer, aggressively allocating capital to assets with extreme estimation errors, which results in unstable, corner-solution portfolios that lack diversification (Job, 2022; Salo et al., 2024).

Consequently, portfolios optimized under the traditional Mean-Variance model frequently exhibit poor out-of-sample performance, often failing to outperform simple heuristic benchmarks such as the naive 1/N equal-weighted strategy (Martínez-Barbero et al., 2025; Job, 2022).

2.2.2 Post Modern Portfolio Theory (PMPT)

Post-Modern Portfolio Theory (PMPT) represents a sizable shift in portfolio management by redefining risk not as general volatility, but specifically as the probability of losing money.

While early theories treated all price fluctuations equally, PMPT acknowledges that rational investors do not fear unexpected gains; they only fear returns that fall below a specific target or benchmark (Alcántar, 2023). This led to the adoption of asymmetric risk measures like semi-variance, which filters out the good volatility and calculates risk based solely on returns that drop below a mean or a required rate of return (Lorimer et al., 2024). By isolating the downside, this approach aligns mathematical modeling more closely with actual investor psychology, where the pain of a loss is often felt more acutely than the pleasure of an equivalent gain (Ferrari et al., 2024).

This focus on asymmetry offers a distinct improvement over the traditional Modern Portfolio Theory (MPT). The classic MPT framework relies on the assumption that asset returns are symmetric in nature, which implies that extreme market crashes are incredibly rare events (Mozumder et al., 2024). However, empirical evidence shows that financial markets frequently exhibit fat tails and skewness, meaning that drastic losses occur far more often than MPT predicts (Adegboyo & Sarwar, 2025). By moving away from standard deviation -which penalizes upside potential just as much as downside loss -PMPT allows for the construction of portfolios that seek to capture growth during bull markets while specifically minimizing exposure to structural breaks and crashes (Chaweewanchon & Chaysiri, 2022).

The theoretical evolution of measuring downside risk acts as a bridge between semi-variance and quantile-based metrics like Value at Risk (VaR) and Conditional Value at Risk (CVaR). While semi-variance looks at the volatility of losses, CVaR (also known as Expected Shortfall) takes this a step further by estimating the expected magnitude of a loss once a catastrophic threshold has been breached (Alotaibi et al., 2022). Unlike VaR, which simply acts as a cut-off point, CVaR is mathematically coherent, meaning it accounts for the severity of tail events and ensures that diversifying a portfolio does not theoretically increase its risk (Arif et al., 2020). Consequently, modern optimization frameworks have largely transitioned to

Mean-CVaR models, which offer a more robust defense against the heavy -tailed risks inherent in volatile markets like the Nigerian Exchange Group (Quimbayo & Camacho, 2025).

2.2.3 Statistical Learning Theory

Statistical learning theory offers a mathematical basis for understanding how machine learning algorithms estimate functional relationships between variables. Unlike traditional econometrics, which often starts with a rigid, pre -defined structure (like a linear regression equation), machine learning treats the data-generating process as an unknown function that maps input variables-such as past returns or macroeconomic indicators-to an output, like future stock prices (Gu et al., 2019; Chao, 2024). The goal is to use computational power to approximate this complex function by iterating through training data, allowing the model to learn the structure of the data rather than having it imposed by the researcher (Manogna & Kulkarni, 2025). This flexibility allows these models to utilize high-dimensional datasets and extract meaningful signals from noise, a capability that is particularly valuable in financial markets where relationships are non-linear (Zhang, 2025).

A central concept in optimizing these models is the bias -variance tradeoff, which describes the tension between a model's complexity and its predictive stability. If a model is too simple, such as

a basic linear regression, it tends to have high bias because it relies on strong assumptions that may not fit the actual market data, essentially missing the underlying pattern (Gu et al., 2019). On the other hand, if a model is too complex, it exhibits high variance, meaning it is so sensitive tha t it captures random noise and specific quirks of the training data rather than the true economic signal (Manogna & Kulkarni, 2025). The objective of statistical learning is to find the optimal balance point where the total error-comprising both bias and variance-is minimized, ensuring the model is flexible enough to capture trends but rigid enough to ignore

irrelevant noise (Gu et al., 2019).

Closely related to variance is the risk of overfitting, a scenario where a model performs exceptionally well on historical data-essentially memorizing it-but fails to generalize new, unseen data. In the context of financial time series, this occurs when an algorithm mistakes random market fluctuations for predictable patterns, leading to poor performance when applied to real-world trading (■Slusarczyk & ■Slepaczuk, 2025; Yu, 2024). To prevent this, researchers employ regularization techniques, which mathematically penalize models for becoming too complex, effectively shrinking the estimated parameters to prevent them from reacting to noise (Gu et al., 2019; Manogna & Kulkarni, 2025). Furthermore, the generalization capability of a model is rigorously tested by splitting data into distinct training, validation, and testing sets, ensuring that the reported accuracy reflects true predictive power rather than in-sample optimization (Ashrafzadeh et al., 2025; Yu, 2024).

The advantage of machine learning lies in its universal approximation property, which allows it to model complex, non-linear data structures that rigid econometric frameworks fail to capture (Gu et al., 2019). While traditional linear models struggle with stylized facts like heavy tails, algorithms such as XGBoost and LSTM autonomously identify latent dependencies in high-dimensional environments (Ashrafzadeh et al., 2025). This flexibility ensures robustness against shifting

market regimes, effectively reducing model misspecification risks compared to static statistical approaches (Manogna & Kulkarni, 2025).

2.3 Empirical Framework

This section of the literature review offers a summary of the connection between portfolio optimization techniques, equity return forecasting and integrated forecasting approach and their individual risk-adjusted return performance.

2.3.1 Mean-Variance Portfolio Optimization

In developed markets, studies show that the MV model doesn't always outperform naive approaches such as an equally weighted portfolio in terms of risk-adjusted returns (like Sharpe ratio). In the US equity market, the naive approach is quite competitive and, in some cases, outperformed where the number of assets is large and unsystematic risk is low (Salo et al., 2024).

Additionally, in other studies where unsystematic risk was higher, it is observed to achieve superior returns even during bearish markets showing the mean variance portfolio outshined naive approach due to proper diversification of unsystematic risk (Martínez -Barbero et al., 2025; ■Slusarczyk & ■Slepaczuk, 2025).

In emerging markets, the MV model didn't perform as well due to issues like high volatility and low liquidity. According to (Job, 2022, using the MSCI Emerging and Frontier Market Index, show that the index outperformed optimization models underscoring the need for better downside risk management and the importance of emerging markets in the world economy.

The failure of the MV model in emerging markets stems from its extreme sensitivity to estimation errors in the input parameters and out-of-sample instability (Bodnar et al., 2022; Rigamonti and Lu■ivjanská, 2021). Consequently, the reliance on historical sample means and covariances without robustification renders the traditional MV weak and inferior to naive approaches in

practical applications (Martínez-Barbero et al., 2025). Based on these studies, it shows a need for more adaptive and downside risk-aware techniques for portfolio optimization.

2.3.2 VaR and CVaR Based Portfolio Models

Value at Risk (VaR) has become a widely accepted benchmark for measuring financial risk, endorsed by the financial regulatory body of Basel Committee on Banking Supervision (BCBS) when it was made a supplement to credit risk measure in the Basel II Accord. VaR is a measure used to determine downside risk when it was initially designed to be used for risk assessment in financial institutions (Arif et al., 2020; Alotaibi et al., 2022; Fatouros et al., 2023).

However, even though it has been used for decades as the standard for measuring tail risk, it lacked efficiency during economic crisis such as the 2020 Covid -19 pandemic and the 2008 global financial crisis. This can be traced to its simplistic assumptions that are summed in the phrase by Einhorn and Brown in 2008, where VaR is compared to "an airbag that works all the time, except when you have a car accident " (Fatouros et al., 2023). VaR faces major challenges such as sub- additivity, inadequate percentile of distribution tail loss amongst others (Mozumder et al., 2024; Alotaibi et al., 2022).

Conditional Value at Risk (CVaR) on the other hand acts as a step up since it is derived from VaR but improves coherence properties and satisfies the shortcomings of VaR like subadditivity and convexity properties enabling it to better handle tail risk and achieving a higher accumulated risk- adjusted returns (Yan et al., 2020). According to Alotaibi et al. (2022), CVaR achieves superior returns compared to VaR underscoring a more accurate measurement of financial risk.

2.3.3 Integrated Forecasting and Optimization Models

Recent empirical studies have consistently shown that machine learning (ML) models tend to outperform traditional econometric techniques when it comes to forecasting stock returns.

Traditional models, such as ARIMA, rely heavily on the assumption that financial data is stable and linear, which often leads to errors because real -world markets are volatile and

complex (Ashrafzadeh et al., 2025). In contrast, advanced algorithms like Random Forest and Neural Networks are designed to identify intricate, non-linear patterns that standard models miss (Gu et al., 2019). For example, San (2025) found that Random Forest models achieved significantly lower error rates (RMSE) compared to the hybrid ARIMA-GARCH model because they could handle market noise and outliers much better. Similarly, Martínez-Barbero et al. (2025) demonstrated that Long Short-Term Memory (LSTM) networks provided much more accurate predictions than traditional statistical methods, both in estimating price values and predicting the direction of the market.

Building superior forecasting, researchers have developed hybrid frameworks that use these machine learning predictions directly into portfolio optimization models. Instead of using historical averages -which assume the future will look like the past -these frameworks use the predicted returns generated by ML models as the inputs for the optimization process (Ashrafzadeh et al., 2025). This method allows the portfolio to adjust dynamically to new information. For instance, Chaweewanchon and Chaysiri (2022) proposed a two-step approach where stocks are first pre-selected based on high predicted returns from a neural network, and then the Markowitz model is used to assign weights. Fan (2025) and Manogna and Kulkarni (2025) utilized similar frameworks, showing that combining LSTM or XGBoost predictions with mean-variance optimization greatly improves how portfolios are constructed by making them more responsive to market changes.

When these forecast-driven frameworks are put to the test, the economic gains are often substantial compared to passive strategies. Gu et al. (2019) provided striking evidence showing that an

investor using neural network forecasts to time the S&P 500 could increase their annualized Sharpe ratio from 0.51 (buy-and-hold) to 0.77, essentially earning much higher risk-adjusted returns. This outperformance holds true even during difficult market periods; Martínez

-Barbero et al. (2025) reported that prediction-based portfolios consistently beat the EURO STOXX 50 index, generating positive results even during bear markets. Furthermore, ■Slusarczyk and ■Slepaczuk (2025) found that strategies utilizing XGBoost forecasts outperformed standard benchmarks in terms of the Information Ratio, confirming that active management based on algorithmic predictions leads to more efficient capital allocation than simple diversification.

In the context of emerging markets like Nigeria, empirical evidence strongly supports the adoption of these hybrid machine learning approaches. Uzoaga et al. (2025) analyzed the Nigerian Stock Exchange and concluded that Random Forest techniques significantly outperformed linear regression in predicting stock prices, suggesting these tools are well-suited for the Nigerian market structure. Further comparative analysis across Africa by Uzoaga et al. (2025) revealed that while Random Forest was dominant for Nigerian stock returns, different models like Neural Networks worked better for other markets like Uganda, highlighting the need for model selection.

Additionally, a study on the Johannesburg Stock Exchange by Moyoweshumba and Seitshiro (2025) demonstrated that portfolios optimized using XGBoost and Random Forest achieved Sharpe ratios of 1.44 and 1.30 respectively, far surpassing the 0.41 ratio of the traditional Markowitz model. This confirms that hybrid ML strategies are not just theoretical but offer practical, superior performance in African emerging economies.

2.4 Research Gap

Despite the growing body of research on portfolio optimization and equity return forecasting, significant gaps remain, particularly in the area of emerging markets like Nigeria. Most of the current studies are focused on developed economies with stable and liquid markets, which often do not capture the volatility, thin trading, and structural shocks characteristic of local

markets. This focus limits understanding of how traditional models, such as mean-variance optimization, or even more advanced techniques, behave under conditions of high market uncertainty, leptokurtic returns, and sudden economic or policy shifts.

Furthermore, there is a clear shortage of research integrating predictive modeling with risk-aware portfolio construction. While machine learning and other advanced forecasting techniques have demonstrated strong predictive power, few studies explore how these forecasts can be directly used in optimizing portfolios that account for tail risk. Most research treats forecasting and optimization as separate processes, which reduces the level of application of these methods in real-world decision-making where investors need both accurate predictions and robust allocation strategies simultaneously.

Finally, the practical implementation of these models remains underexplored. Many studies rely on historical data and theoretical assumptions, without testing how forecast-driven, tail-risk-aware portfolios perform under real-world constraints such as transaction costs, liquidity limitations, and market microstructure effects. This leaves a critical gap between theory and practice, creating uncertainty about whether these advanced approaches can truly deliver superior risk-adjusted returns in emerging markets. Addressing these gaps is essential for developing adaptive, resilient, and practically implementable investment strategies tailored to markets like the Nigerian Exchange Group.

2.5 Summary of Gaps in Literature

Overall, the literature shows a lack of research in emerging African markets especially Nigeria that bridges advanced forecasting techniques with robust risk management frameworks. There is

limited integration of machine learning predictions into tail-risk-aware portfolio construction, and few studies have tested these methods in real emerging markets. This leaves important

questions unanswered about the effectiveness, adaptability, and practical value of such hybrid approaches for investors navigating volatile and complex market environments. These gaps justify the need for a study that develops and evaluates a framework combining predictive forecasting with Conditional Value-at-Risk optimization tailored to Nigerian equities.

CHAPTER THREE

RESEARCH METHODOLOGY

This chapter describes the research methodology employed in the analysis of this study. It entails the theoretical framework, the model specification, the estimation techniques, measurement and description of the variables studied, and lastly, the sources of data.

This chapter is organized as follows. Section 3.1 explains the theoretical framework guiding the conduct of the study, and this is derived from the economic theories specified in Chapter Two. Section 3.2 reveals the model specification used to achieve the objectives of this study, which is in line with the theoretical framework. Section 3.3 comprises the estimation techniques used in the study to achieve objectives. Section 3.4 provides the description and measurement of the study variables. Section 3.5 which concludes the chapter, explains how data will be obtained.

3.1 THEORETICAL FRAMEWORK

3.1.1 Modern Portfolio Theory and Tail Risk

As established in Chapter 2, the foundation of portfolio selection lies in Harry Markowitz's Modern Portfolio Theory (MPT), which formalizes the risk-return trade-off by assuming normally distributed returns and relying on symmetric variance as the primary measure of risk (Markowitz, 1952).

However, the empirical reality of emerging markets like the Nigerian Exchange Group (NGX) fundamentally violates these strict assumptions; these markets are instead characterized by high volatility, low liquidity, asymmetric information, and leptokurtic distributions where extreme downside market events happen much more frequently than normal distributions would predict (Arif & Sohail, 2020). To address these structural violations, Post-Modern Portfolio Theory (PMPT) offers a theoretical solution by redefining risk not as general symmetrical volatility, but specifically as the probability of financial loss, thereby distinguishing between desirable upside gains and detrimental downside drops (Alotaibi et al., 2022). Consequently, this methodology operationalizes PMPT by discarding the traditional mean-variance framework in favor of Conditional Value-at-Risk (CVaR), a coherent risk measure selected to specifically quantify and minimize the average severity of extreme tail losses occurring beyond a catastrophic threshold in the NGX (Rockafellar & Uryasev, 2002).

3.1.2 Machine Learning Theories for Forecasting

To address the limitations of the Efficient Market Hypothesis (EMH) outlined in Chapter 2, this methodology utilizes advanced statistical learning theories. The EMH and the associated Random Walk Hypothesis postulate that asset prices instantaneously reflect all available information and fluctuate randomly, theoretically rendering future price movements unpredictable and active forecasting futile (Fama, 1970).

However, substantial empirical evidence challenges these strict assumptions, particularly in emerging markets like the Nigerian Exchange Group (NGX), which exhibit market frictions, significant volatility clustering, frequent structural breaks, and complex non-linear correlations (Adegboyo & Sarwar, 2025). Statistical learning theories offer a robust mathematical framework that bypasses rigid econometric assumptions, allowing for the extraction of meaningful, latent non-linear dependencies directly from noisy and high-dimensional financial data (Gu, Kelly, & Xiu, 2019).

Consequently, this methodology adopts advanced ensemble machine learning algorithms—specifically Random Forest and eXtreme Gradient Boosting (XGBoost)—to effectively operationalize statistical learning, thereby capturing the complex, non-stationary market patterns that traditional models and the EMH fail to identify (Manogna & Kulkarni, 2025; Ashrafzadeh et al., 2025)

3.2 Model Specification

3.2.1 Predictive Models

The aim of the predictive phase of the study is to forecast future returns of the component assets within the NGX Pension Index. To achieve this, the study frames return forecasting as a supervised multivariate time-series problem. Unlike traditional linear asset pricing models which assume a linear relationship between risk factors and returns, this methodology posits that financial time series are driven by complex, non-linear, and interacting market dynamics.

Let R_{t+1} represent the continuous logarithmic return of a given equity asset for the upcoming week, calculated from the weekly closing prices. The foundational predictive relationship is defined as: $R_{t+1} = f(X_t) + \epsilon_{t+1}$ Where:

- R_{t+1} is the dependent variable representing the weekly logarithmic return at time $t + 1$.
- f represents the complex, non-linear mapping function that will be empirically approximated by the ensemble machine learning algorithms (Random Forest and XGBoost).
- X_t is the multi-dimensional feature vector containing the independent variables strictly observed at the end of week t .
- ϵ_{t+1} is the idiosyncratic error term (or white noise) representing unobservable market

shocks that occur at time $t + 1$, which are independent of the information set at time t . To provide the machine learning algorithms with a comprehensive representation of market conditions, the feature space is populated with thirteen explicitly selected variables. These variables are derived entirely from the historical Open, High, Low, Close, and Volume (OHLCV) data to prevent multicollinearity while capturing diverse market dimensions.

The feature vector $\mathbf{X}_t$ is mathematically defined as a 13×1 column vector:

$$\mathbf{X}_t = [X_{t,1}, X_{t,2}, \dots, X_{t,13}] = [\text{Momentum}, \text{Autoregressive Returns}, \text{Trend and Volatility}, \text{Volume Flow}]$$

four distinct market dimensions:

1. Momentum and Oscillator Indicators: The Moving Average Convergence Divergence (MACD), Percentage Price Oscillator (PPO), Relative Strength Index (RSI), and Stochastic Oscillator (Stoch) measure the velocity and magnitude of recent price swings to identify overbought or oversold conditions.
2. Autoregressive (Lagged) Returns: The sequence of X_{t-1} , X_{t-2} , and X_{t-3} represents the preceding four weeks of logarithmic returns, feeding historical price momentum directly into the model.
3. Trend and Volatility Indicators: The Simple Moving Average (SMA), Average Directional Index (ADX), and Stop and Reverse (S&R) capture the absolute strength and direction of the trend. Crucially for the subsequent tail-risk optimization, the Average True Range (ATR) captures intra-week market volatility and extreme price fluctuations.
4. Volume Flow: On-Balance Volume (OBV) acts as a proxy for market liquidity and institutional participation, validating the strength of the observed price trends.

This specific autoregressive functional form is strictly structured to avoid look-ahead bias. By ensuring that the predictive function $\hat{f}(\cdot)$ maps only the information matrix available at time t to the target return at time $t+1$, the chronological integrity of the predictive pipeline is preserved, rendering the model suitable for practical portfolio allocation on the Nigerian Exchange Group.

3.2.2 Random Forest Specification

To capture the non-linear interactions among the thirteen technical and momentum indicators, this study employs the Random Forest (RF) algorithm, a robust ensemble machine learning technique.

1. Bootstrap Aggregating (Bagging)

The foundation of the RF model relies on the statistical method of bagging. Given the training dataset of weekly returns and features, the algorithm generates B independent bootstrap samples (random samples drawn with replacement). Let the original training dataset be defined as $\mathcal{D} = \{(\mathbf{x}_1, y_1), (\mathbf{x}_2, y_2), \dots, (\mathbf{x}_n, y_n)\}$.

For each iteration $b = 1, 2, \dots, B$: A bootstrap sample $\mathcal{D}_b$ is drawn from $\mathcal{D}$. A distinct regression tree, denoted as T_b , is grown using this specific localized sample $\mathcal{D}_b$.

2. Tree Construction and Feature Randomness

At each node of the tree T_b , a random subset of m features is selected from the total $M = 13$ available indicators in the feature vector $\mathbf{x}$. For regression tasks, this subset is typically established as $m \approx M/3$.

The algorithm determines the optimal splitting variable j (from the m subset) and split point τ by minimizing the Mean Squared Error (MSE) of the resulting partitions. For a given node representing a region of the feature space R , the split (j, τ) is chosen to minimize:

$$MSE_{\text{train}} = \left[\sum_{\mathbf{x} \in \mathcal{X}_1} (\mathbf{y} - \hat{\mathbf{y}})^2 + \sum_{\mathbf{x} \in \mathcal{X}_2} (\mathbf{y} - \hat{\mathbf{y}})^2 \right]$$
 (Where $\mathcal{X}_1$ and $\mathcal{X}_2$ are the partitioned feature spaces and $\hat{\mathbf{y}}$ represents the mean of the observed returns within that specific region.

3. The Ensemble Forecast

Each individual tree T is grown deeply without pruning. While a single unpruned tree captures highly complex, non-linear market relationships with low bias, it suffers high variance (over-fitting). The Random Forest model neutralizes this variance by averaging the continuous predictive outputs across all B independently trained trees.

The aggregate Random Forest prediction for the weekly return at time $t+1$, given the specific market information set $\mathbf{X}_t$, is mathematically specified as: $\hat{\mathbf{y}}_{t+1}$

$$\hat{\mathbf{y}}_{t+1} =$$

$$\frac{1}{B} \sum_{b=1}^B T_b(\mathbf{X}_t)$$

$$B$$

$$B=1$$

Where:

- $\hat{\mathbf{y}}_{t+1}$

$\hat{\mathbf{y}}_{t+1}$ is the forecasted logarithmic return of the target asset.

- B is the total number of regression trees in the forest ensemble (a hyperparameter that will be optimized during the model training phase).

- $T_b(\mathbf{X}_t)$ is the predicted return of the b -th individual regression tree based on the 13-dimensional feature vector $\mathbf{X}_t$.

3.2.3 eXtreme Gradient Boosting (XGBoost)

XGBoost operates as an additive ensemble of classification and regression trees (CART), optimizing a regularized objective function via second-order gradient descent.

1. The Additive Model Specification

The XGBoost algorithm models the expected return at time $t+1$ as an additive combination of M sequential base learners (regression trees). For a given feature vector $\mathbf{x}_t$ containing the thirteen extracted market indicators, the aggregated XGBoost forecast is defined as:

$$\hat{y}_{t+1} = \sum_{m=1}^M f_m(\mathbf{x}_t)$$

where

$m=1, \dots, M \in \mathbb{N}$ Where:

- $M+1$

$\hat{y}_{t+1}$ is the forecasted logarithmic return.

- M is the total number of additive trees.
- f_m represents an independent classification and regression tree (CART) structure within the functional space $\mathcal{F}$ of all possible trees.

2. The Regularized Objective Function

Financial time series are notoriously noisy, making complex models highly susceptible to overfitting. XGBoost addresses this by optimizing a regularized objective function at each sequential step t (not to be confused with time index t). The algorithm seeks to minimize the following loss function:

$$\mathcal{L} = \sum_{t=1}^n \ell(\hat{y}_t, y_t) + \sum_{m=1}^M \Omega(f_m)$$

■

$$\mathbf{w} = 1 + \sum \Omega(\mathbf{w})$$

■

■=1 Where:

- $\ell(\cdot)$ is a differentiable convex loss function, specifically the Mean Squared Error (MSE), which measures the difference between the actual observed return $\mathbf{y}_{t+1}$ and the model's prediction $\mathbf{w}_{t+1}$.

- $\Omega(\mathbf{w})$ is the explicit regularization penalty applied to the model's complexity to prevent overfitting the technical indicators. The regularization term is mathematically defined as: $\Omega(\mathbf{w}) = \mathbf{w} + \frac{1}{2} \|\mathbf{w}\|^2$ Where $\mathbf{w}$ is the number of terminal nodes (leaves) in the tree, $\mathbf{w}$ represents the leaf weights, $\mathbf{w}$ penalizes the addition of new splits (controlling tree depth), and $\mathbf{w}$ is the L2 regularization term on the weights. By aggressively penalizing complexity, the XGBoost model isolates true predictive signals from transient market noise on the NGX.

3.2.4 The Tail-Risk Aware (Mean-CVaR) Optimization Model

The continuous return forecasts generated by the Random Forest and XGBoost algorithms ($\mathbf{y}_{t+1}^{RF}$ and $\mathbf{y}_{t+1}^{XGB}$) are aggregated into an expected return vector, denoted as $\mathbf{y}_{t+1}$, which serves as the primary input for the optimization algorithm.

To account for the severe downside volatility inherent in emerging equity markets, this study discards the traditional Mean-Variance framework (which assumes normally distributed returns) in favor of the Mean-Conditional Value at Risk (Mean-CVaR) framework.

1. Formulation of Portfolio Loss and VaR

Let $\mathbf{w}$ represent the vector of portfolio weights allocated to the N constituent assets of the NGX Pension Index and $\mathbf{r}$ represent the vector of actual asset returns. The portfolio loss function is defined as the negative of the portfolio return:

$L(\mathbf{w}, \mathbf{r}) = -\mathbf{w}^T \mathbf{r}$ Before defining CVaR, the Value at Risk (VaR) at a specified confidence level $\alpha \in (0,1)$ (e.g., 95%) must be established. VaR represents the minimum loss expected in the $(1 - \alpha)$ worst-case scenarios:

$$\text{VaR}_\alpha(\mathbf{w}) = \min_{\mathbf{r} \in \mathcal{R}: L(\mathbf{w}, \mathbf{r}) \leq \tau} \tau$$

2. Conditional Value at Risk (CVaR)

$$\text{CVaR}_\alpha(\mathbf{w}) = \mathbb{E}[L(\mathbf{w}, \mathbf{r}) | L(\mathbf{w}, \mathbf{r}) \geq \text{VaR}_\alpha(\mathbf{w})]$$

Following the formulation by Rockafellar and Uryasev (2000), CVaR can be seamlessly integrated into a linear programming problem by minimizing an auxiliary continuous and convex function: $\rho_\alpha(\mathbf{w}) = \tau + \frac{1}{1 - \alpha} \mathbb{E}[\max(0, L(\mathbf{w}, \mathbf{r}) - \tau)]$

3. The Optimization Objective

The ultimate objective of the model is to minimize the tail risk (CVaR) while achieving a minimum acceptable expected return driven by the machine learning forecasts. The optimization problem is specified as:

$\min_{\mathbf{w}, \tau} (\tau + \frac{1}{1 - \alpha} \mathbb{E}[-\text{CVaR}_\alpha(\mathbf{w}) - \tau] + \mathbf{w}^T \mathbf{r} = 1)$ Subject to the following empirical constraints:

- Target Return Constraint: $\mathbf{w}^T \mathbf{r} \geq \mathbf{r}^{\text{arg}}$ (The portfolio's expected return, leveraging the ML vector $\mathbf{r}$, must meet or exceed a specified target).
- Budget Constraint: $\sum \mathbf{w} = 1$

■

■=1 = 1 (The portfolio is fully invested, utilizing 100% of available capital).

- Long-Only Constraint: $\mathbf{w} \geq 0 \forall \mathbf{w}$ (Short selling is prohibited, reflecting institutional realities on the NGX).

By directly feeding the non-linear machine learning predictions ($\hat{\mathbf{w}}$) into this coherent risk-optimization framework, the final portfolio captures both predictive momentum and robust defense against extreme market downturns.

3.3 Estimation Techniques

The estimation techniques applied in this study are carefully chosen to meet the stated objectives and the nature of data employed. Since the study employs time-series over the period of 2010 - 2025, it is important that the employed techniques can pick up the statistical features of the data and the specific research questions

3.3.1 Time-Series Data Partitioning (Train-Test Split)

Evaluating machine learning models requires testing them on unseen, out-of-sample data. While traditional machine learning relies on randomized K-fold cross-validation, applying random splits to financial time-series data introduces look-ahead bias. This severe methodological flaw occurs when future market information inadvertently leaks into the training dataset, destroying the chronological order of events, and artificially inflating the model's predictive accuracy.

To preserve temporal dependencies, this study uses Rolling Window Walk-Forward Validation. This technique simulates real-world forecasting by sequentially advancing a fixed-size training window through the historical NGX dataset.

The algorithm trains the Random Forest and XGBoost models on a fixed historical lookback period of size W (e.g., the preceding 156 weeks) to forecast the return for the immediate subsequent week (t). Once the out-of-sample prediction is recorded, the entire training window shifts forward by one week. The oldest weekly observation is discarded, the most recent observation is absorbed, and the models are retrained.

3.3.2 Model Training and Hyperparameter Tuning

Out-of-the-box machine learning algorithms rarely capture the complex dynamics of financial time series optimally. Therefore, this study employs a Randomized Search Cross-Validation strategy within the training window to efficiently identify the optimal hyperparameter configurations for both models.

The tuning process focuses on penalizing model complexity to prevent overfitting:

- **Random Forest Parameters:** The search optimizes the number of trees in the forest ($n_estimators$), the maximum depth of each tree (max_depth), and the minimum number of samples required to split an internal node ($min_samples_split$).
- **XGBoost Parameters:** The search optimizes the learning rate or step size shrinkage ($learning_rate$), the maximum tree depth (max_depth), and the minimum loss reduction required to make a further partition ($gamma$), which directly controls the structural regularization.

3.3.3 Portfolio Turnover and Transaction Costs

To ensure that the optimized Mean-CVaR portfolio strategy is economically viable and not merely theoretically profitable, it is imperative to account for real-world trading frictions, such as brokerage fees and slippage on the Nigerian Exchange Group (NGX) (Ashrafzadeh et al., 2025). This requires measuring the portfolio turnover, which mathematically quantifies the

absolute change in the portfolio's asset weights from one weekly rebalancing period to the next (Zsurkis, Nicolau, & Rodrigues, 2024):

$$Turnover_t = \sum_{i=1..N} |w_{t,i} - w_{t-1,i}|$$

Following standard empirical finance procedures, transaction costs are deducted from gross returns to construct net returns. This study evaluates portfolio performance across three execution-cost regimes: a gross frictionless baseline (0.00%), an institutional PFA execution scenario applying a fixed 75 basis points (0.75%) per rebalancing trade, and a retail execution friction scenario applying 150 basis points (1.50%) to account for brokerage commissions and market slippage on the NGX. Finally, a Net Returns feature column will be constructed by deducting these calculated transaction costs from the gross portfolio returns, providing a rigorous and realistic evaluation of the portfolio's actual out-of-sample performance.

3.3.4 Feature Importance Extraction

Due to the criticism of ensemble models of being black boxes in traditional econometrics and to ensure economic interpretability, this study extracts the built-in feature importance scores from the optimized models to determine which of the thirteen technical indicators exert the strongest predictive influence on NGX equity returns.

- **Random Forest Interpretation:** Importance is calculated using the Mean Decrease in Impurity (Gini Importance). It measures the total reduction of the Mean Squared Error (MSE) brought by that specific feature across all trees in the forest.
- **XGBoost Interpretation:** Importance is measured using Information Gain. It evaluates the relative contribution of each feature to the model by calculating the improvement in accuracy it provides to the branches it is on.

3.3.5 Evaluation Metrics for Forecasting and Portfolio Performance

The methodology utilizes a dual-evaluation framework to assess both the predictive accuracy of the machine learning algorithms (Stage 1) and the financial viability of the resulting Mean-CVaR optimized portfolio against the Mean-Variance baseline (Stage 2).

1. Predictive Forecasting Metrics To evaluate the machine learning phase, the deviation of the forecasted expected returns ($\hat{R}$) from the actual observed returns (R) is measured using two continuous error metrics:

- Root Mean Squared Error (RMSE): Penalizes larger forecasting errors more heavily, which is crucial for identifying severe prediction failures before they are fed into the optimizer.

$RMSE = \sqrt{\frac{1}{N} \sum_{i=1}^N (\hat{R}_i - R_i)^2}$ • Mean Absolute Error (MAE): Measures the average absolute magnitude of the prediction errors, providing a baseline view of model accuracy without directional bias. $MAE = \frac{1}{N} \sum_{i=1}^N |\hat{R}_i - R_i|$

2. Risk-Adjusted Portfolio Metrics

To evaluate the final portfolio allocation, performance is measured using risk-adjusted return metrics. This requires a localized risk-free rate proxy (R_f), for which the de-annualized Central Bank of Nigeria (CBN) 91-day Treasury Bill rate is utilized.

- Sharpe Ratio: Measures the excess return per unit of total portfolio risk (standard deviation, σ). $SR = \frac{R_p - R_f}{\sigma}$
- Sortino Ratio: Aligning with the thesis's focus on tail risk, this ratio isolates downside volatility. It replaces total standard deviation with downside deviation (σ_d), penalizing only the returns that fall below R_f .

$SR = \frac{R_p - R_f}{\sigma}$ • Maximum Drawdown (MDD): Quantifies the portfolio's absolute worst-case scenario. It measures the maximum observed loss from a historical peak to a subsequent trough before a new peak is attained.

$MDD = \max_{i,j} (P_i - P_j)$ By utilizing these metrics, the study empirically validates whether the non-linear machine learning forecasts, combined with CVaR tail-risk constraints, genuinely deliver superior risk-adjusted performance on the

Nigerian Exchange.

3. Benchmark Portfolios for Evaluation

To rigorously evaluate the economic value and true out-of-sample performance of the advanced ML-CVaR optimization strategy, it is essential to measure its results against standard baseline portfolios. By utilizing these benchmarks alongside the metrics above, the study empirically validates whether the non-linear machine learning forecasts, combined with CVaR tail-risk constraints, genuinely deliver superior risk-adjusted performance on the Nigerian Exchange.

- **The 1/N Equally Weighted Portfolio (EWP):** In this naive diversification strategy, investment capital is simply divided uniformly across all selected stocks without relying on any parameter estimation or complex optimization algorithms. In an EWP strategy, each asset in the portfolio holds an equal weight of $w_i = 1/N$. This rule is chosen as a primary benchmark because it is easy to implement and continues to be a standard, highly effective allocation rule utilized by investors.
- **The Buy-and-Hold Market Index Strategy:** This is a passive strategy that involves buying and holding the market index itself (in this case, the NGX Pension Index). This serves as a critical baseline to demonstrate whether active portfolio management based on machine learning predictions genuinely provides superior risk-adjusted returns compared to general market movements. Initialized at equal weights $w_{0,i} = 1/N$ at $t = 0$, Buy-and-Hold weights drift passively with asset price returns ($w_{t+1,i} \propto w_{t,i}(1 + R_{t+1,i})$) with zero rebalancing turnover post week 0.

3.3.6 Hypothesis Testing and Statistical Significance Framework

To determine whether observed differences in risk-adjusted performance (Sharpe and Sortino ratios) and weekly portfolio returns between candidate strategies and baseline benchmarks are

statistically meaningful or merely artifacts of sampling variation, this study implements a decision-theoretic inferential hypothesis testing framework. In emerging equity markets such as the NGX, where asset returns display pronounced non-normality, negative skewness, and heavy tails, traditional parametric Z-tests can yield misleading p-values. Therefore, both parametric and robust non-parametric bootstrap procedures are employed:

1. **Jobson and Korkie (1981) Test with Memmel (2007) Correction:** Evaluates the null hypothesis of Sharpe ratio equality $H_0: \text{Sharpe}_A = \text{Sharpe}_B$ for two correlated portfolios. Memmel (2007) corrects the asymptotic variance under portfolio correlation ρ :

$$Z = (\text{Sharpe}_A - \text{Sharpe}_B) / \sqrt{(1/T) [2(1 - \rho) + 0.5(\text{Sharpe}_A^2 + \text{Sharpe}_B^2 - 2 \text{Sharpe}_A \text{Sharpe}_B \rho^2)]}$$

where T is the number of out-of-sample weekly observations.

2. **Ledoit and Wolf (2008) Circular Block Bootstrap Test for Sharpe Ratio Equality:** Resamples overlapping blocks of length $b = 5$ weeks across $B = 2,000$ bootstrap replicates to preserve time-series autocorrelation and conditional heteroskedasticity (GARCH effects). The empirical p-value evaluates $H_0: \text{Sharpe}_A - \text{Sharpe}_B = 0$.
3. **Ledoit and Wolf (2011) Bootstrap Test for Sortino Ratio Equality:** Extends non-parametric block bootstrapping to downside risk, evaluating $H_0: \text{Sortino}_A - \text{Sortino}_B = 0$ to verify excess return per unit of downside risk.
4. **Non-Parametric Wilcoxon Signed-Rank Test and Paired t-Test:** Evaluates whether weekly differential returns $\Delta R_t = R_{A,t} - R_{B,t}$ significantly deviate from zero ($H_0: E[\Delta R_t] = 0$).
5. **Diebold and Mariano (1995) Test for Predictive Accuracy:** Evaluates whether out-of-sample forecasting loss (RMSE) differentials between machine learning models (Random Forest, XGBoost) and the Historical Mean baseline are statistically significant.

3.4 Description and Measurement of Study Variables

The variables utilized in this study are partitioned into the target variable, the thirteen machine learning feature inputs (extracted exclusively from the weekly OHLCV data), and the exogenous risk-free rate parameter required for portfolio evaluation.

Below is the tabular summary of all variables, their mathematical measurements, and their operational roles within the predictive and optimization models.

Variable Symbol	Variable Name	Category	Measurement / Mathematical Formulation	Operational Role
$R_{i,t+1}$	Weekly Logarithmic Return	Target Variable	$\ln(P_{i,t} / P_{i,t-1})$	The primary dependent variable. Represents continuous yield of asset i for upcoming week.
$MACD_t$	Moving Average Convergence Divergence	Momentum Predictor	$EMA_{12}(P_t) - EMA_{26}(P_t)$	Measures velocity of price changes to identify short-term momentum shifts.
PPO_t	Percentage Price Oscillator	Momentum Predictor	$[EMA_{12}(P_t) - EMA_{26}(P_t)] / EMA_{26}(P_t) \times 100$	Normalized version of MACD, allowing models to compare momentum across assets of different prices.
RSI_t	Relative Strength Index	Momentum Predictor	$100 - [100 / (1 + RS)]$ (where RS is average gain / average loss)	Identifies overbought (>70) or oversold (<30) market conditions.
$STOCH_t$	Stochastic Oscillator (%K)	Momentum Predictor	$[(P_t - L_{14}) / (H_{14} - L_{14})] \times 100$	Evaluates closing price relative to high-low range over 14 weeks to predict turning points.
$R_{i,t-n}$	Lagged Log Returns (Lags 1 to 4)	Autoregressive Predictor	$R_{i,t-1}, R_{i,t-2}, R_{i,t-3}, R_{i,t-4}$	Feeds past four weeks of price momentum directly into ML algorithms.
SMA_t	Simple Moving Average	Trend Predictor	$(1 / n) \sum_{k=0..n-1} P_{t-k}$	Smooths weekly price data to identify baseline market trend direction.
ADX_t	Average Directional Index	Trend Predictor	$100 \times MA(+DI - -DI / (+DI + -DI))$	Quantifies absolute strength of a trend, regardless of bullish or bearish.
SAR_t	Parabolic Stop and Reverse	Trend Predictor	$SAR_{t-1} + \alpha(EP_{t-1} - SAR_{t-1})$	Identifies precise entry and exit points and signals potential trend reversals.

Variable Symbol	Variable Name	Category	Measurement / Mathematical Formulation	Operational Role
ATR_t	Average True Range	Volatility Predictor	$(1/n) \sum_{i=1..n} TR_i$ (where TR incorporates gaps)	Measures intra-week market volatility and true magnitude of price drops.
OBV_t	On-Balance Volume	Volume Predictor	$OBV_{t-1} \pm V_t$ (added on up weeks, subtracted on down)	Confirms price trends by measuring underlying institutional liquidity and trading volume flow.
R_f	Risk-Free Rate	Exogenous Parameter	$(1 + R_{annual})^{1/52} - 1$	De-annualized CBN 91-day Treasury Bill yield. Used to calculate Sharpe and Sortino ratios.

(Note: In the formulations above, P_t represents the weekly closing price, H is the high price, L is the low price, V_t is the weekly volume, EMA is the Exponential Moving Average, and TR is the True Range).

3.5 Data Preprocessing and Feature Scaling

Prior to feeding the financial time-series data into the machine learning models, rigorous data preprocessing is required to ensure data integrity and model stability. First, missing values, which frequently arise in the Nigerian Exchange Group (NGX) due to market closures, public holidays, or reporting inconsistencies, will be handled using forward-fill imputation. This technique preserves the chronological continuity of historical price trends and prevents detrimental gaps in the sequential learning process of the algorithms.

Consequently, this study applies Min-Max normalization to transform all raw prices and technical indicators into a standardized range. The Min-Max scaling formula utilized is expressed as:

$$x_{scaled} = (x_i - \min(x)) / (\max(x) - \min(x))$$

where x_{scaled} represents the normalized value of the input feature x_i , and $\min(x)$ and $\max(x)$ represent the minimum and maximum values of that specific feature over the defined period,

respectively.

Although tree-based ensemble models such as Random Forest and XGBoost are generally scale-invariant at the individual split level, Min-Max normalization is applied to ensure consistent data representation across all 13 technical indicators and to facilitate comparability across feature-derived indicators versus bounded oscillators such as RSI.

3.6 Software and Implementation Tools

To ensure the complete reproducibility and accuracy of the empirical pipeline (from data preprocessing and hyperparameter tuning to machine learning predictions and Mean-CVaR portfolio optimization), all computational procedures in this study are executed programmatically. The methodology is implemented entirely within the Python programming language. Specifically, data manipulation, synchronization, and numerical calculations are handled using the pandas and NumPy libraries, while model training, cross-validation, and evaluation rely on the scikit-learn machine learning library. Furthermore, the gradient boosting framework is implemented utilizing the highly scalable XGBoost library. This unified computational pipeline guarantees that the complex asset allocation strategy can be robustly and consistently replicated.

3.7 Sources of Data

The study is completely based on secondary data covering 2010-2025. Secondary data are appropriate for this study since the research entails stock trading data which are regularly published by reputable financial organizations.

The data on the stock trading history of the individual companies under the NGX Pension Index are sourced primarily from Investing.com. The primary dataset consists of the historical daily closing prices, high/low prices, and trading volumes for the selected assets, which were programmatically downloaded from the Investing.com financial database. The study thus

ensures the data employed are valid, accurate, and in accordance with literature regarding individual publicly traded companies on the NGX.